

We have already discussed this point in our exposition of the “normal-stock” basis of inventory valuation (in Chap. 32), a method adopted by Plymouth Cordage itself after 1932. In theory the analyst might attempt to put all companies on a normal-stock basis for the purpose of calculating their earning power exclusive of inventory fluctuations and for uniform comparisons. Actually, he has not the data necessary for such calculations. Hence he is reduced—here, as in many fields of analysis—to the necessity of making general rather than exact allowance for the distorting effect of inventory price changes.

Profits from Inventory Inflation. That the importance of inventory price changes is not confined to a depression period is emphatically shown by the events of 1919 and 1920. In 1919 the profits of industrial companies were very large; in 1920 the reported earnings were irregular but in the aggregate quite substantial. Yet the gains shown in these two years were in many cases the result of an *inventory inflation*, i.e., a huge and speculative advance in commodity prices. Not only was the authenticity of these profits thereby made open to question, but the situation was replete with danger because of the large bank loans contracted to finance these overvalued inventories.

Examples: The following tabulation, which covers a number of the leading industrial companies, will bring out the significant contrast between the apparently satisfactory earnings developments and the

Twelve Industrial Companies (Aggregate Figures)

	Year 1919	Year 1920	Years 1919–1920
Earned for common stock	\$100,000,000	\$ 48,000,000	\$148,000,000
Dividends paid	35,000,000	68,000,000	103,000,000
Charges to surplus	5,000,000	10,000,000	15,000,000
Added to surplus	60,000,000	30,000,000 (decr.)	30,000,000
Inventories increased	57,000,000	84,000,000	141,000,000
Change in other net current assets	+ 30,000,000	131,000,000 (decr.)	101,000,000 (decr.)
Plant, etc. increased	33,000,000	169,000,000	202,000,000
Capitalization increased	69,000,000	141,000,000	210,000,000
Reserve increased		12,000,000	12,000,000